propositions to him as soon as he arrived and was astute enough to gather from Smith that he was in favour of them, and promptly spread the good news. Taylor told Grigg that Stewart had told him that Norman was very worried about it all, and he hoped that Norman would write and tell Smith that this was not co-operation. 'If I might offer a suggestion, it is that Smith probably won't do anything more, he is too cautious, and the two penny half penny reduction of the Bank Rate was after all only a rather futile grandiosity…'[47]

Grigg's reply to Taylor on December 16, 1935 is indication of what he really thought of Smith and is reproduced here almost in its entirety since it shows Grigg at his acerbic best. He openly accuses him of making money and tells Taylor that he will continue to collect evidence against Smith till he nails him.

> 'Your picture of Smith as a vain and indiscrete and fundamentally upright man makes me laugh like hell. I believe him to be a thorough crook; I believe him to use official information to make money on his own behalf; I believe him to give away information to other people (including possibly Craddock) which has enabled them to do the same. I have enough evidence to satisfy me that he has double crossed me and others (Lamond included) over this Bank Rate business, however much I talk to him I would never trust him a yard again. At the same time, I freely admit that I have not enough evidence to produce as a defence in a libel action… I cannot therefore ask him to resign. So I propose to wait on events but I certainly shall make no move to see Smith. I am not sure that I shall accept an invitation from him to see him. I shall go on picking up bits and chips of evidence and hope that sooner or later I shall get in at him. Stewart and Norman can only suggest that Otto should give Smith a nice little homily on co-operation but I would not dream of allowing any such thing for I am a non-co-operator from now on. And my lad, you mark my words, you and I will be damned lucky if we don't have an ignominious collapse or an open scandal over your damned RB… I dare say you all think I am baloney but I am convinced I am right, though I shan't do anything rash. I shall beaver away until I get the swine